



Scan here for the full video
of the interview

THE BT INTERVIEW

our outlets are in Delhi NCR—around 85. There are 48 in Mumbai, and around 20 in Pune and Kolkata. This wave is global, it is a lifestyle, and it is present wherever there are young people and the earning is decent. People were very sceptical about Kolkata, but we have the most successful business model there.

AB: Is coffee finally beating tea, at least among the youth?

A: There is no fight. In my opinion, anything that can be made at home, and that you have grown up with becomes slightly less premium. Fetching a good price for that product outside the home and making it a viable business model will be challenging.

AB: Your cafés turn profitable very quickly. What's the operating logic?

A: You must balance expenses. Do not rely on marketing to develop your business, because the product will always win, no matter what. In a café, 40-45% expenses are rental, marketing, and discounts. You must control that. We do not care about visibility; we care about neighbourhoods. Make your product right and convenient for the consumer. More than 95% of our stores have been profitable in the first month.

SZ: Did Covid change the consumption behaviour of youth?

A: Coffee consumption in India has surged post Covid, not just in cafés but through deliveries, as people got accustomed to ordering in. Lifestyle habits have changed too; Indians are going out more often, and coffee shops fit seamlessly into this rhythm, whether it is a 7 a.m. run, a mid-morning meetup, or an afternoon break. Today, coffee consumption here is still measured in grams per person, compared to kgs in other countries. Even a small shift in habit represents a massive opportunity. There is enough room for multiple players to grow and for this category to create at least one unicorn.

AB: Are you building towards unicorn status or an IPO?

A: We never reverse engineer. This is a business driven by patience. What we are trying to build is an Indian coffee brand that is going to be famous for good quality across the globe. I do not want to be in a situation where a person who has trusted me loses money. Most of our early-stage investors have reinvested. All the big players have reinvested because we do not overpromise or oversell. People have trusted us with their money and that is going to happen in the public

markets too. The moment we gain the confidence of not disappointing anyone will be the time for an IPO.

AB: Is the market overcrowded or is this just the beginning?

A: India just has 2,300 cafés. In Shanghai or New York, you have more than 10,000 cafes. So, it is a heavily underpenetrated market. You may see this as an overcrowded market, I see this as just the start.

SZ: What about coffee bean prices?

A: The prices of coffee beans have risen 50-60% this year. It is not just Blue Tokai, most players have not been able to pass this increase to consumers. While prices are likely to remain elevated in the near term, we are hopeful that they will stabilise. The specialty market is still young, and both consumers and firms

“After about two years, when we were still a home-run business, we realised this opportunity was big. If not us someone else would pick up the opportunity”

are adapting to these fluctuations. Overall, this price rise reflects global trends in supply, quality, and demand.

AB: What are some operational challenges in running this business?

A: Managing people is our biggest challenge. Our staff comes from varied backgrounds and getting them to adapt to Blue Tokai's standards isn't solved with a 21-day training course—it takes time, experimentation, and even professional guidance. On top of that, we don't outsource anything: breads, fillings, croissants, cookies, everything is made in-house. Building this takes years, which is why patience is key—profitability doesn't happen overnight.

It is not just about selling coffee, it's about creating experiences, educating consumers, and supporting growers along the way. **BT**

@szarabi, @aabhabakaya